**FINANCIAL ACCOUNTING & REPORTING**

Suggested Answers
November-December 2023

**Answer to the Question# 1(a):**

**Five fundamental principles are as follows:**

(i) Integrity: a professional accountant should be honest in all professional and business relationship.
(ii) Objectivity: a professional accountant should be unbiased and free from any kind of internal or external influence, conflict of interest or undue influence of other to override professional or business judgement.
(iii) Professional competence and due care: a professional accountant should attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organisation receives competent professional service based on current developments in practice, legislation and techniques and act diligently and in accordance with applicable technical and professional standards.
(iv) Confidentiality: a professional accountant should respect the confidentiality of information acquired as a result of professional and business relationships and, therefore, not disclose any such information to third parties without proper and specific authority, unless there is a legal or professional right or duty to disclose, nor use the information for the personal advantage of the professional accountant or third parties.
(v) Professional behavior: a professional accountant should comply with relevant laws and regulations and avoid any action that discredits the profession.

**Answer to the Question# 1(b):**

The cost of the timber inventories would be classified as a current asset as they are realised within the normal operating cycle.

The entity should disclose the amount of inventories to be realised more than twelve months after the end of the reporting period, to assist users in assessing its liquidity and solvency.

**Answer to the Question# 2(a):**

**G&H PUMP MFG. CO.**
**Partial Balance Sheet**
**December 31, 2022**

| | |
|---|---|
| **Liabilities:** | |
| **Current liabilities:** | |
| Accounts payable and accrued expenses | Tk. 163,230 |
| Income taxes payable | 63,000 |
| Accrued bond interest payable | 110,000 |
| Unearned revenue | 25,300 |
| Current portion of long-term debt, (Mortgage Note Payable) [Tk. 240,864-169,994] | 70,870 |
| Total current liabilities | Tk. 432,400 |
| **Long-term liabilities:** | |
| Note payable to Sonali Bank | Tk. 99,000 |
| Mortgage note payable [Tk. 240,864-70,870] | 169,994 |
| Bonds payable Including Premium [Tk. 2,200,000+1,408] | 2,201,408 |
| Total long-term liabilities | Tk. 2,470,402 |
| Total liabilities | Tk. 2,902,802 |

**Answer to the Question# 2(b):**

i. Although the note payable to Sonali Bank is due 30 days, it is due, it is classified as a loss liability as it will be refinanced on a long-term basis.
ii. Pending lawsuit is a loss Agency requiring disclose, but it is not listed in the liability section of the balance sheet.
iii. The Tk. 70,870, of the mortgage note that will be repaid within the next 12 months (Tk. 240,864 – Tk. 169,994) is a current liability; the remaining balance, due after December 31, 2023, is long-term debt.
iv. 4. Although the bonds payable mature in seven months, they will be repaid from a sinking fund, rather than from current assets. Therefore, these bonds retain their long-term classification.

**Answer to the Question# 3(a)(i):**

In preparing consolidated FS, CPL shall not use carrying value amounting to BDT 6 million for said apartments as the CPL is to use its own accounting policy of revaluation method consistently. Consistent use of the accounting policy means usage of the same method for the same items/group of items across the reporting entity under a group from period to period. Therefore, CPL shall use the revaluation method, i.e. use BDT 30 million for Land (assumed the land is separable in case the apartment is abolished) & BDT 0.5 million for the apartment civil part.

**Answer to the Question# 3(a)(ii):**

IAS 16 requires recognizing revaluation surplus and bifurcation of different assets in Land & Building. IAS 12 requires an entity to recognize deferred tax if there are adjustable difference. IAS 36 requires recognizing Impairment Loss.

While SEL restates the carrying value of the apartment for proportionate land, there would be adjustable difference thus required recognition of deferred tax liabilities or tax adjustment under IAS 12. However, for bifurcation & revaluation surplus & impairment loss, deferred tax liabilities the accounting adjustments are:

| Particulars | Date | Journal Entries | AMT in BDT (Debit) | AMT in BDT (Credit) | Remarks |
|---|---|---|---|---|---|
| Recording of bifurcation | 1July 2020 | DR. Land | 4 million | | Once BDT 4 million is assigned to Land balance BDT 2 million remaining with apartment. |
| | | CR. Apartment | | 4 million | |
| Recording of Revaluation Surplus & Deferred Tax Liabilities | 1July 2020 | DR. Land | 26 million | | Land value of BDT 4 million was revalued to BDT 30 million thus resulted a revaluation surplus of BDT 24.96 million & Deferred Tax Liabilities BDT 1,04 Million at a rate of 4% (applicable Tax on Revaluation Surplus of Land) |
| | | CR. Revaluation Surplus | | 24.96 million | |
| | | CR. Deferred Tax Liabilities | | 1.04 million | |
| Recording of Impairment Loss on Building Part | 1July 2020 | DR. Impairment Loss | 1.5 million | | For Building (civil part) there would be an impairment loss of BDT 1.5 million (Carrying value of BDT 2 million – restated value of BDT 0.5 million) |
| | | CR. Apartment | | 1.5 million | |
| Recording deducible Temporary difference on revaluation loss | 1July 2020 | DR. Deferred Tax Assets | BDT 0.45 million | | Deductible Temporary Difference to realise year to year while different amount of depreciation charged on apartment thus tax expenses differ |
| | | CR. Impairment Loss | | BDT 0.45 million | |
| Notes: | 1. | Assumed Tax rate of 30% on Private Limited Companies | | | |
| | 2. | Assumed straight line Depreciation | | | |
| | 3. | Assumed applicable Tax Rate on Capital Gain (Revaluation Surplus) of 4% | | | |

As required a reporting entity shall consistently apply the accounting policies. Consistent use of the accounting policy means usage of the same method for the same items/group of items across the reporting group from period to period. Therefore, SEL shall be asked to follow the revaluation method and bifurcate land & building separately.

**Answer to the Question# 3(b)(i):**

| Particulars | Date | Journal Entries | AMT in BDT (Debit) | AMT in BDT (Credit) | Remarks |
|---|---|---|---|---|---|
| Recording of Sale | 1 Jan 2018 | DR. Receivable from PGCL | 300 Crore | | Record Sale of Land to PGCL |
| | | CR. Land<br>CR. Gain on sale of Land | | 200 Crore<br>100 Crore | |
| Recording of Receipt | 1 Jan 2018 | DR. Bank | 300 Crore | | Assumed considerations settled through Bank Transfer |
| | | CR. Receivable from PGCL | | 300 Crore | |
| Recording of Gain Tax on Gain of land | 1 Jan 2018 | DR. Capital Gain Tax Expenses | 15 Crore | | Assuming gain Tax rate 15% [Tk. 100x15%] |
| | | CR. Tax Payable | | 15 Crore | |
| Recording of Purchase of Substation incl. Land | 31Dec 2019 | DR. Substation<br>DR. Land | 800 Crore<br>350 Crore | | By Bank from PGCL |
| | | CR. Payable to PGCL | | 1150 Crore | |
| Recording of Payment | 31 Dec 2019 | DR. Payable to PGCL | 1150 Crore | | Assumed considerations settled through Bank Transfer |
| | | CR. Bank | | 1150 Crore | |
| Charges of Depreciation | 31 Dec 2020 | DR. Depreciation | 37.5 Crore | | Assumed useful life of 20 Yrs and disposal value of BDT 50 Crore (BDT 800 crore - BDT 50 crore)/20 |
| | | CR. Accumulated Depreciation | | 37.5 Crore | |
| Charges of Depreciation | 31 Dec 2021 | DR. Depreciation | 37.5 Crore | | Assumed useful life of 20 Yrs and disposal value of BDT 50 Crore (BDT 800 crore - BDT 50 crore)/20 |
| | | CR. Accumulated Depreciation | | 37.5 Crore | |
| Notes: | 1. | Assumed land was bought by CPDC in earlier than 5 Yrs | | | |
| | 2. | Assumed straight line Depreciation | | | |

**Answer to the Question# 3(b)(ii):**

The legal form of the transaction is that CPDC has sold land to PGCL as it has transferred legal title. To reflect the legal form, CPDC would record a sale and show the resulting profit or loss, if any, in profit or loss in the reporting period. In 24 months' time, while the legal title of the land again regained, CPDC would record a purchase of land along with substation. There would be no liability to PGCL in CPDC financial statements until the land is repurchased in 31 Dec 2019 but a disclosure as "off-balance sheet items" under contractual liabilities.

However, these records (measurement & recognition) and presentation into CPDC Financial Statements do not provide faithful representation because it does not reflect the economic substance of the transaction. After all, CPDC is under obligation from the outset to repurchase the land and CPDC bears the risk that these land might not be good use to it/any other third party if substation installation failed and is unsaleable at desired/agreed price in a 24 months' time.

**Answer to the Question# 3(c):**

IFRS requires to evaluate the quality of Loan & Advances, its recoverability and collateral security to ascertain whether the same is impaired or not and if impaired, in what extent thus to provide impairment loss, whereas concerned BRPD circular warrant a Bank to provide impairment provision based on period of overdue.

**Answer to the Question# 4: (a)**

Assuming costs vary with sales and a 20 percent increase in sales, the pro forms income statement will look like this:

**MOOSE TOURS LTD.**
**Pro Forms Income Statement**

| | |
|---|---|
| Sales | Tk. 1,003,320 |
| Costs | 780,840 |
| Other expenses | 20,520 |
| EBIT | Tk. 201,960 |
| Interest | 12,600 |
| Taxable income | Tk. 189,360 |
| Taxed (35%) | Tk. 66,276 |
| Net income | Tk. 123,084 |

The payout ratio is constant, so the dividends paid this year is the payout ratio from last year times net income, or; Dividends = (Tk. 30,300/ Tk. 101,205) x Tk. 123,084

Dividends = Tk. 36,850

And the addition to retained earnings will be:

Addition to retained earnings = Tk. 123,084 – 36,850 = Tk. 86,234

The new retained earnings on the pro forms balance sheet will be:

New retained earnings = Tk. 176,855 + 86,234 = Tk. 263,089

The pro forma balance sheet will look like this:

**MOOSE TOURS LTD**
**Pro Forma Balance sheet**

| **Assets** | | **Liabilities & Owners Equity** | |
|---|---|---|---|
| **Current assets** | | **Current liabilities** | |
| Cash | Tk. 28,842 | Accounts payable | Tk. 77,520 |
| Accounts receivable | 46,398 | Notes payable | 16,150 |
| Inventory | 99,066 | Total | Tk. 93,670 |
| Total | Tk. 174,306 | Long-term debt | 150,000 |
| **Fixes assets** | | **Owners' equity** | |
| Net plant & equipment | 470,820 | Common stock & paid-in surplus | Tk. 130,000 |
| | | Retained earnings | 263,089 |
| | | Total | Tk. 393,089 |
| Total Assets | Tk. 645,126 | Total liabilities & owners' equity | Tk. 636,759 |

So, the External Financing Needed (EFN) is:

EFN = Total assets – Total liabilities and equity

EFN = Tk. 645,126 – 636,759 = Tk. 8,367

**Answer to the Question# 4(b):**

First, we need to calculate full capacity sales, which is:

Full capacity sales = Tk. 836,100/ .80 = Tk. 1,045,125

The full capacity ratio at full capacity sales is:

Full capacity ratio = Fixed assets / Full capacity sales

Full capacity ratio = Tk. 392,350 / Tk. 1,045,125 = 0.37541

The fixed assets required at full capacity sales is the full capacity ratio times the projected sales level

Total fixed assets =Tk. 1,003,320 x 0.37541 = Tk. 376,656

So, EFN is:

EFN = (Tk. 174,306 + 376,656) – Tk. 636,759 = -Tk. 85,797

**Answer to the Question# 4(c):**

The D/E ratio of the company is:

D/E = (Tk. 80,750 + 150,000) / Tk. 306,855 =0.75198

So, the new total debt amount will be:

New total debt = Tk. 393,089 x 0 .75198 = Tk. 295,596

This is the new total debt for the company. Given that our calculation for EFN is the amount that must be raised externally and does not increase proportionately with sales, we need to subtract the proportionate increase in accounts payable. The new level of accounts payable will be the current accounts payable times the sales growth, or:

Proportionate increase in accounts payable = Tk. 64,600 x 0.20= Tk. 12,920

Means that Tk. 12,920 of the new total debt is not raised externally. So, the debts raised externally which will be the EFN is:

EFN = New total debt – (Beginning LTD + Beginning CL + Proportionate increase in AP)

EFN = Tk. 295,596 – (Tk. 150,000 + 80,750 + 12,920) = Tk. 51,926.

**The pro forma balanced sheet with the new long-term debt will be:**

**MOOSE TOURS LTD**

**Pro forma Balance Sheet**

| **Assets** | | **Liabilities & Owners Equity** | |
|---|---|---|---|
| **Current assets** | | **Current liabilities** | |
| Cash | Tk. 28,842 | Accounts payable | Tk. 77,520 |
| Excess cash | 43,559 | | |
| Accounts receivable | 46,398 | Notes payable | 16,150 |
| Inventory | 99,066 | Total | Tk. 93,670 |
| Total | Tk. 217,865 | Long-term debt | 201,926 |
| **Fixes assets** | | **Owners' equity** | |
| Net plant & equipment | 470,820 | Common stock & paid-in surplus | Tk. 130,000 |
| | | Retained earnings | 263,089 |
| | | Total | Tk. 393,089 |
| Total Assets | Tk. 688,685 | Total liabilities & owners' equity | Tk. 688,685 |

The funds raised by the debt issue can be put into an excess cash account to make the balance sheet balance. The excess debt will be:

Excess debt = Tk. 688,685 – 645,126 = Tk. 43,559

The excess cash has an opportunity cost that we decreased earlier. Increasing fixed assets would also not be a good idea since the company already has enough fixed assets. A likely scenario would be the repurchase of debt and equity in its current capital structure weights. The company's debt assets and equity assets are:

Debt assets = (Tk. 201,926+93,670) / 688,685 =0.43

Equity-assets = Tk. 393,089 /688,685 =0.57

So, the amount of debt and equity needed will be:

Total debt needed =Tk. 645.126 x 0.43 = Tk. 277,404

Equity needed =Tk. 645,126 x 0.57 = Tk. 367,722

So, the repurchases of debt and equity will be:

Debt repurchase = Tk. 93,670 + 201,926 – 277,404 = Tk. 18,192

Equity repurchase = Tk. 393,089 – 367,722 = Tk. 25,367

Assuming all of the debt repurchase is from long-term debt, and the equity repurchase is entirely from the retained earnings, the final pro form balance sheet will be:

**MOOSE TOURS LTD.**
**Pro forma Balance Sheet**

| Assets | | Liabilities & Owners Equity | |
|---|---|---|---|
| **Current assets** | | **Current liabilities** | |
| Cash | Tk. 28,842 | Accounts payable | Tk. 77,520 |
| Accounts receivable | 46,398 | Notes payable | 16,150 |
| Inventory | 99,066 | Total | Tk. 93,670 |
| Total | Tk. 174,306 | Long-term debt | 183,734 |
| **Fixes assets** | | **Owners' equity** | |
| Net plant & equipment | 470,820 | Common stock & paid-in surplus | Tk. 130,000 |
| | | Retained earnings | 237,722 |
| | | Total | Tk. 367,722 |
| Total Assets | Tk. 645,126 | Total liabilities & owners' equity | Tk. 645,126 |

**Answer to the Question# 4(d):**

**The pro forma income statement for all three growth rates will be:**

**MOOSE TOURS LTD**
**Pro Forma Income Statement**

| | **15% Sales Growth** | **20% Sales Growth** | **25% Sales Growth** |
|---|---|---|---|
| Sales | Tk. 961,515 | Tk. 1,003,320 | Tk. 1,045,125 |
| Costs | 748,305 | 780,840 | 813,375 |
| Other expenses | 19,665 | 20,520 | 21,375 |
| EBIT | Tk. 193,545 | Tk. 201,960 | Tk. 210,375 |
| Interest | 12,600 | 12,600 | 12,600 |
| Taxable Income | Tk. 180,945 | Tk. 189,360 | 197,775 |
| Taxes (35%) | 63,331 | 66,276 | 69,221 |
| Net income | Tk. 117,614 | Tk. 123,084 | Tk. 128,554 |
| Dividends (As payout ratio is constant) | Tk. 35,213 | Tk. 36,850 | Tk. 38,488 |
| Add to RE | Tk. 82,401 | Tk. 86,234 | Tk. 90,066 |
| New RE | Tk. 259,256 | Tk. 263,089 | Tk. 266,921 |

Assuming the payout ratio is constant, the dividends paid will be:

Dividends for 15% Sales Growth = (Tk. 30,300/Tk. 101,205) x Tk. 117,614 = Tk. 35,213

Dividends for 20% Sales Growth = (Tk. 30,300/Tk. 101,205) x Tk. 123,084 = Tk. 36,850

Dividends for 25% Sales Growth = (Tk. 30,300/Tk. 101,205) x Tk. 128,554 = Tk. 38,488

**The pro forma Balance Sheet for all three growth rates will be:**

## MOOSE TOURS LTD.

### Pro Forma Balance Sheet

| | Sales Growth (15%) | Sales Growth (20%) | Sales Growth (25%) |
|---|---|---|---|
| **Assets** | | | |
| **Current assets** | | | |
| Cash | 27,640 | 28,842 | 30,044 |
| Accounts receivable | 44,465 | 46,398 | 48,331 |
| Inventory | 94,938 | 99,066 | 103,194 |
| **Total** | **167,043** | **174,306** | **181,569** |
| **Fixes assets** | | | |
| Net plant & equipment | 451,203 | 470,820 | 490,438 |
| **Total Assets** | **618,246** | **645,126** | **672,006** |
| **Liabilities & Owners Equity** | | | |
| **Current liabilities** | | | |
| Accounts payable | 74,290 | 77,520 | 80,750 |
| Notes payable | 16,150 | 16,150 | 16,150 |
| **Total** | **90,440** | **93,670** | **96,900** |
| Long-term debt | 150,000 | 150,000 | 150,000 |
| **Owners' equity** | | | |
| Common stock & paid-in surplus | 130,000 | 130,000 | 130,000 |
| Retained earnings | 259,256 | 263,089 | 266,921 |
| **Total** | **389,256** | **393,089** | **396,921** |
| **Total liabilities & owners' equity** | **629,696** | **636,759** | **643,821** |
| **EFN** | **-11,450** | **8,367** | **28,185** |

**EFN = Total assets = Total liabilities and equity**

**Answer to the Question# 5(a):**

The lawsuit and press coverage for the environmental damage provide existence of conditions which existed at 31 December 2021. In light of the legal advice received, no provision should be recognized since it is not probable that the entity will be required to pay damages under the action. Disclosure is required as the lawsuit provides further evidence of an uncertainty (the contingent liability) which existed at the end of the reporting period.

The lawsuit for unfair dismissal has been settled after the year-end, although it was in progress at the year end. Although it appeared that there was no obligating event at the year end, it was settled in the post year-end period as if an obligating event did exist. The most appropriate accounting treatment is therefore to make a provision at the year-end in accordance with IAS 37, providing the actual amount that the lawsuit was settled for in February 2022.

**Answer to the Question# 5(b) (i):**

Total amount to be charged to profit & loss in the year ended on 31 October 2022:

| | | Amount in Tk. |
|---|---|---|
| Formula B (not yet qualifying as development phase) | | 20,000 |
| Amortisation of development cost (Formula A) | working | 5,300 |
| Amortisation of patent (2,000 / 10) | | 200 |
| | | 25,500 |

**Answer to the Question# 5(b)(ii):**

Notes to the financial statements as at 31 October 2022 (extracts)

**Intangible Assets**

| Cost: | Development cost (Tk.) | Patents (Tk.) | Total (Tk.) |
|---|---|---|---|
| At 1 November 2021 | | | |
| Additions | 43,000 | - | 43,000 |
| At 31 October 2022 | 10,000 | 2,000 | 12,000 |
| Amortisation | 53,000 | 2,000 | 55,000 |
| At 1 November 2021 | | | |
| Charge for the year | | | |
| At 31 October 2022 | 5,300 | 200 | 5,500 |
| Carrying amount | | | |
| At 31 October 2022 | 47,700 | 1,800 | 49,500 |

Working:

Amortisation of development cost for Formula A

Sales in year / Total sales x Tk. 53,000

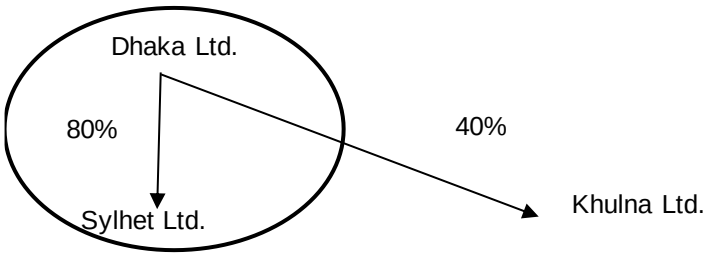
50,000 / (50,000 + 150,000 + 200,000 + 100,000) x 53,000

Tk. 5,300

**Answer to the Question# 6:**

Working notes:

(i) Group structure:




(ii) Net assets

Sylhet Ltd.

| | Year - end date | | Acquisition | Post-acquisition |
|---|---|---|---|---|
| | Tk. | Tk. | Tk. | Tk. |
| Share capital | | 200,000 | 200,000 | - |
| Retained earnings: | | | | |
| As per question | 820,000 | | | |
| Less: PURP (Note: vi) | (4,000) | | | |
| | | 816,000 | 500,000 | 316,000 |
| | | 1,016,000 | 700,000 | 316,000 |

(iii) Goodwill

Sylhet Ltd.

| | Tk. |
|---|---|
| Consideration transferred | 562,000 |
| Net assets at acquisition | (700,000) |
| Non-controlling interest at acquisition (20% x Tk. 700,000) | 140,000 |
| | 2,000 |
| Impairment to date | (1,000) |
| Balance C/F | 1,000 |

(iv) Non-controlling interest at year-end

| | |
|---|---|
| Share of net assets at acquisition (20% x 700,000) | 140,000 |
| Share of net assets at post-acquisition (20% x 316,000) | 63,200 |
| | 203,200 |

(v) Retained earnings

| | |
|---|---|
| Dhaka Ltd. | 1,015,000 |
| Sylhet Ltd (80% x 316,000) | 252,800 |
| Khulna Ltd. (40% x (463,000 - 242,000)) | 88,400 |
| Less: impairment to date (1,000 + 2,000) | (3,000) |
| | 1,353,200 |

(vi) PURP

| | % | Tk. |
|---|---|---|
| Selling price | 125 | 20,000 |
| Cost | -100 | (16,000) |
| Gross Profit | 25 | 4,000 |

(vii) Investment in associates

| | |
|---|---|
| Cost of investment in Khulna Ltd. | 184,000 |
| Share of post-acquisition retained earnings (40% x (463,000 - 242,000)) | 88,400 |
| | 272,400 |
| Less: impairment to date | (2,000) |
| | 270,400 |

**Answer to the Question# 6(a):**

Consolidated statement of financial position for Dhaka Ltd. as at 31 December 2022:

| | | |
|---|---|---|
| Assets | | |
| Non-current assets | | |
| Property, plant and equipment (697,210 + 648,010) | | 1,345,220 |
| Intangible (note: iii) | | 1,000 |
| Investment in associates (note: vii) | | 270,400 |
| | | 1,616,620 |
| Current assets | | |
| Inventories (495,165 +388,619 - 4,000 (note: vi)) | 879,784 | |
| Trade and other receivables (415,717 +320,540) | 736,257 | |
| Cash and cash equivalents (101,274 +95,010) | 196,284 | |
| | | 1,812,325 |
| Total assets | | 3,428,945 |
| Equity and Liabilities | | |
| Equity attributable to owners of the parent | | |
| Ordinary share capital | | 600,000 |
| Retained earnings (note: v) | | 1,353,200 |
| | | 1,953,200 |

| | |
|---|---|
| Non-controlling interest (note: iv) | 203,200 |
| Total equity | 2,156,400 |
| Non-current liabilities | |
| Borrowing (400,000 + 150,000) | 550,000 |
| Current liabilities | |
| Trade payables (440,366 +282,179) | 722,545 |
| Total equity and liabilities | 3,428,945 |

**Answer to the Question# 6(b):**

Required accounting treatment for different levels of investment:

(i) Control

The investment will be treated as a subsidiary and consolidated in accordance with IFRS 10 Consolidated Financial Statements.

The ability to direct the decision making of the undertaking means that full consolidation is appropriate. The assets/liabilities and income/expenses under group control are shown as if they belonged to a single entity.

The non-controlling share is shown in order to indicate the proportion not owned by the group.

(ii) Significant influence

Many investments involve the influencing of decisions rather than outright control.

Such investments are treated as associates and equity accounted on consolidation in accordance with IAS 28 Investment in Associates and Joint Ventures.

This level of involvement is reflected by showing the underlying value of the investment in the statement of financial position and the share of profit in the statement of profit or loss.

(iii) Simple investment

Here the investor has no significant involvement in the investee undertaking.

Consequently, only amounts paid/payable or received/receivable are reflected in the group accounts.

The cost of such investment is shown in the statement of financial position, whilst dividend income is reflected in the statement of profit or loss.

**Answer to the Question# 6(c):**

**Explanation of accounting methods used:**

(i) Subsidiary - impact on statement of financial position

- 100% of the net assets of a subsidiary will be included on a line-by-lines basis.
- Intra-group balances will be contra'd out
- Unrealised profits on intra-group sales of inventory and property, plant and equipment will be removed.
- Goodwill is recognised if the consideration transferred plus the non-controlling interest at acquisition exceeds the fair value of the net assets acquired.
- Consolidated retained earnings will include: (1) parent company's percentage of subsidiary's post-acquisition profits and (2) cumulative goodwill impairments to date.
- The non-controlling interest will show the value of the net assets included in the consolidated statement of financial position but owned by 'outside' interests.

(ii) Associate - impact on statement of financial position

- The cost of the investment is increased by the share of the post-acquisition increase in the associate's net assets and decreased by any impairment losses.
- Consolidated retained earnings will include (1) the investor company's percentage of the associate's post-acquisition profits and (2) cumulative investment impairment to date.

---The End---